Matter Giving Rise to Disclaimer of Opinions on the modified cash basis Statement of Activities, Statement of Revenues, Expenditures, and Changes in Fund Balances of the Governmental Funds, and Statement of Revenues, Expenses, and Changes in Net Position and Cash Flows of the Proprietary Fund

The Village switched general ledger accounting software during the year ended September 30, 2022 and we were unable to verify beginning cash account balances used during the conversion. Consequently, we were unable to determine what adjustments were necessary in the statements of activities; statements of revenues, expenditures and changes in fund balances - governmental funds; statements of revenues, expenses, and changes in net position - proprietary funds; statements of cash flows - proprietary funds; or in the budgetary comparison schedules. Therefore, we were not able to obtain sufficient appropriate audit evidence and cannot express opinions on the proper classification of revenue, expenditures, and cash flows for the year ended September 30, 2022.

Emphasis of Matter - Basis of Accounting

We draw attention to Note A of the financial statements, which describes the basis of accounting. The financial statements are prepared on the modified cash basis of accounting, which is a basis of accounting other than accounting principles generally accepted in the United States of America. Our opinions are not modified with respect to that matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of these financial statements in accordance with the modified cash basis of accounting described in Note A, and for determining that the modified cash basis of accounting is an acceptable basis for the preparation of the financial statements in the circumstances. Management is also responsible for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the Village of Homer's ability to continue as a going concern for twelve months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the modified cash basis financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Because of the matter described in the Basis of Disclaimer of Opinions section, we were not able to obtain sufficient appropriate audit evidence to provide a basis for an audit opinion on the Statement of Activities, Statement of Revenues, Expenditures, and Changes in Fund Balances - Governmental Funds, and the Departmental Statements of Revenues, Expenses, and Changes in Net Position - Proprietary Funds. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with generally accepted auditing standards and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF NET POSITION - MODIFIED CASH BASIS

September 30, 2022

	Governmental Activities	Business-type Activities	Total
ASSETS			
Current assets:			
Cash and cash equivalents	$ 224,863	$ 226,500	$ 451,363
Certificates of deposit	150,838	321,030	471,868
County treasurer cash	4,108	-	4,108
Total current assets	379,809	547,530	927,339
Noncurrent assets:			
Restricted cash and cash equivalents	116,826	12,200	129,026
Restricted certificates of deposit	112,613	-	112,613
Total noncurrent assets	229,439	12,200	241,639
Total assets	609,248	559,730	1,168,978
LIABILITIES			
Current liabilities:			
Payroll taxes withheld	1,900	816	2,716
Sales tax payable	-	(823)	(823)
Total liabilities	1,900	(7)	1,893
NET POSITION			
Restricted for:			
Street improvements	85,985	-	85,985
Debt service	143,454	12,200	155,654
Unrestricted	377,909	547,537	925,446
Total net position	$ 607,348	$ 559,737	$ 1,167,085

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF ACTIVITIES - MODIFIED CASH BASIS

For the year ended September 30, 2022

Functions/Programs	Expenses	Program Revenues: Charges for Services	Program Revenues: Operating Grants and Contributions
Governmental activities:			
General government	$ 124,512	$ 73,397	$ 46,105
Public safety	52,355	-	-
Public works	95,776	-	-
Environment and leisure	59,143	-	-
Total governmental activities	331,786	73,397	46,105
Business-type activities :			
Enterprise	198,369	201,202	-
Total primary government	$ 530,155	$ 274,599	$ 46,105

See notes to financial statements.

Capital Grants and Contributions		Net (Expenses) Revenues and Changes in Net Position: Governmental Activities	Business-type Activities	Total
$ -		$ (5,010)		$ (5,010)
-		(52,355)		(52,355)
-		(95,776)		(95,776)
-		(59,143)		(59,143)
-		(212,284)	$ -	(212,284)
-		-	2,833	2,833
$ -		(212,284)	2,833	(209,451)
	General revenues:			
	Taxes:			
	Property	63,342	-	63,342
	Motor vehicle	16,281	-	16,281
	Franchise	13,671	-	13,671
	State allocation	84,948	-	84,948
	Miscellaneous	5,422	-	5,422
	Interest income	1,049	595	1,644
	Insurance proceeds	18,458	-	18,458
	Net transfers	(14,900)	14,900	-
	Total general revenues	188,271	15,495	203,766
	Change in net position	(24,013)	18,328	(5,685)
	Net position - September 30, 2021, as previously reported	631,361	(120,995)	510,366
	Restatement of net position	-	662,404	662,404
	Net position - September 30, 2021, as restated	631,361	541,409	1,172,770
	Net position - September 30, 2022	$ 607,348	$ 559,737	$ 1,167,085

VILLAGE OF HOMER, NEBRASKA

BALANCE SHEET - MODIFIED CASH BASIS - GOVERNMENTAL FUNDS

September 30, 2022

	General Fund	Debt Service Fund	Total Governmental Funds
ASSETS			
Cash and cash equivalents	$ 310,848	$ 30,841	$ 341,689
Certificates of deposit	150,838	112,613	263,451
County treasurer cash	4,108	-	4,108
Total assets	$ 465,794	$ 143,454	$ 609,248
LIABILITIES AND FUND BALANCES			
Liabilities			
Payroll taxes withheld	1,900	-	1,900
Fund balances:			
Restricted for:			
Federal programs	85,985	-	85,985
Debt service	-	143,454	143,454
Assigned for:			
Budget stabilization	317,703	-	317,703
Building improvements	25,079	-	25,079
Christmas décor	8,558	-	8,558
Park improvements	26,569	-	26,569
Total fund balances	463,894	143,454	607,348
Total liabilities and fund balances	$ 465,794	$ 143,454	$ 609,248

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES - MODIFIED CASH BASIS - GOVERNMENTAL FUNDS

For the year ended September 30, 2022

	General Fund	Debt Service Fund	Total Governmental Funds
REVENUES			
Taxes:			
Property	$ 63,342	$ -	$ 63,342
Motor vehicle tax	16,281	-	16,281
Franchise fees	13,671	-	13,671
Intergovernmental	84,948	-	84,948
Licenses and permits	2,401	-	2,401
Interest income	820	229	1,049
Contributions and grants	46,105	-	46,105
Insurance proceeds	18,458	-	18,458
Lease income	70,996	-	70,996
Miscellaneous income	5,422	-	5,422
Total revenues	322,444	229	322,673
EXPENDITURES			
General government	124,512	-	124,512
Public safety	52,355	-	52,355
Public works	95,776	-	95,776
Environment and leisure	59,143	-	59,143
Total expenditures	331,786	-	331,786
Excess (deficiency) of revenues over expenditures	(9,342)	229	(9,113)
OTHER FINANCING USES			
Transfers out	(14,900)	-	(14,900)
Net change in fund balances	(24,242)	229	(24,013)
Fund balances - September 30, 2021	488,136	143,225	631,361
Fund balances - September 30, 2022	$ 463,894	$ 143,454	$ 607,348

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF NET POSITION - MODIFIED CASH BASIS - PROPRIETARY FUND

September 30, 2022

	Enterprise Fund
ASSETS	
Current assets:	
Cash and cash equivalents	$ 226,500
Restricted cash	12,200
Certificates of deposit	321,030
Total assets	559,730
LIABILITIES	
Current liabilities:	
Payroll taxes withheld	816
Sales tax payable	(823)
Total liabilities	(7)
NET POSITION	
Restricted for:	
Debt service	12,200
Unrestricted	547,537
Total net position	$ 559,737

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF REVENUES, EXPENSES, AND CHANGES IN NET POSITION - MODIFIED CASH BASIS - PROPRIETARY FUND

For the year ended September 30, 2022

	Enterprise Fund
Operating revenues:	
Sales	$ 201,202
Operating expenses:	
Personnel and benefits	33,253
Contractual services	770
Dues and fees	3,674
Professional fees	327
Repairs and maintenance	25,460
Supplies	95,776
Utilities	8,942
Total operating expenses	168,202
Operating income	33,000
Nonoperating revenues (expenses):	
Interest income	595
Principal on debt service	(15,264)
Interest on debt service	(14,903)
Total nonoperating revenues (expenses)	(29,572)
Excess of revenues over expenditures	3,428
Other financing sources:	
Transfers in	14,900
Change in net position	18,328
Fund balances - September 30, 2021, as previously reported	(120,995)
Restatement	662,404
Net position - September 30, 2021, as restated	541,409
Net position - September 30, 2022	$ 559,737

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

STATEMENT OF CASH FLOWS - PROPRIETARY FUND

For the year ended September 30, 2022

CASH FLOWS FROM OPERATING ACTIVITIES:	
Receipts from customers	$ 201,202
Payments to suppliers	(140,610)
Payments to employees	(33,253)
Net cash provided by operating activities	27,339
CASH FLOWS FROM NONCAPITAL FINANCING ACTIVITIES:	
Transfers from other funds	14,900
Decrease in due from general fund	183,841
Net cash provided by noncapital financing activities	198,741
CASH FLOW FROM CAPITAL ACTIVITIES AND RELATED FINANCING ACTIVITIES:	
Principal on debt service	(15,264)
Interest on debt service	(14,903)
Net cash used by capital and financing activities	(30,167)
CASH FLOWS FROM INVESTING ACTIVITIES:	
Interest received	595
Decrease in certificate of deposit	2,753
Net cash provided by investing activities	3,348
Increase in cash and cash equivalents	199,261
Cash and cash equivalents - beginning of the year	39,439
Cash and cash equivalents - end of the year	$ 238,700
Cash and cash equivalents consist of:	
Unrestricted cash and cash equivalents	$ 226,500
Restricted cash and cash equivalents	12,200
Total cash and cash equivalents	$ 238,700
Reconciliation of operating income to net cash provided by operating activities:	
Operating income	$ 33,000
Adjustments to reconcile operating income to net cash provided by operating activities:	
Changes in assets and liabilities:	
Payroll taxes withheld	(3,573)
Sales tax collected	(2,088)
Net cash provided by operating activities	$ 27,339

See notes to financial statements.

VILLAGE OF HOMER, NEBRASKA

BUDGETARY COMPARISON SCHEDULE - MODIFIED CASH BASIS - ALL FUNDS

Year ended September 30, 2022

	Original and Final Budget	Actual	Variances - Actual Over (Under) Final Budget
RESOURCES (INFLOWS)			
Taxes:			
Property	$ 60,200	$ 63,342	$ 3,142
Motor vehicle tax	15,000	16,281	1,281
Franchise fees	-	13,671	13,671
State intergovernmental	121,727	84,948	(36,779)
Charges for services	-	274,599	274,599
Grants	-	46,105	46,105
Interest income	-	1,644	1,644
Other local receipts	291,020	23,880	(267,140)
Total resources	487,947	524,470	36,523
CHARGES TO APPROPRIATIONS (OUTFLOWS)			
Governmental:			
General government	106,100	124,512	18,412
Public safety	78,250	52,355	(25,895)
Public works	256,000	95,776	(160,224)
Environment and leisure	51,950	59,143	7,193
Total governmental	492,300	331,786	(160,514)
Business-type:			
Water	215,887	198,369	(17,518)
Sewer	518,395	-	(518,395)
Trash	50,870	-	(50,870)
Total business-type	785,152	198,369	(586,783)
Total charges to appropriations	1,277,452	530,155	(747,297)
Resources under charges to appropriations	(789,505)	(5,685)	783,820
OTHER FINANCING SOURCES (USES)			
Transfers in	-	14,900	14,900
Transfers out	-	(14,900)	(14,900)
Net transfers	-	-	-
RESOURCES UNDER CHARGES TO APPROPRIATIONS	$ (789,505)	$ (5,685)	$ 783,820

VILLAGE OF HOMER, NEBRASKA

COMBINING STATEMENT OF REVENUES AND EXPENDITURES - MODIFIED CASH BASIS - GENERAL FUND DEPARTMENTS

Year ended September 30, 2022

	Administration	Fire	Park	Street	Total
REVENUES					
Taxes:					
Property	63,342	$ -	$ -	$ -	$ 63,342
Motor vehicle	-	-	-	16,281	16,281
Franchise	13,671	-	-	-	13,671
Intergovernmental revenue:					
Highway allocation	-	-	-	84,948	84,948
Licenses and permits	2,401	-	-	-	2,401
Grants	-	-	-	46,105	46,105
Lease income	70,996	-	-	-	70,996
Interest income	817	-	3	-	820
Insurance proceeds	18,458	-	-	-	18,458
Other	5,422	-	-	-	5,422
Total revenues	175,107	-	3	147,334	322,444
EXPENDITURES					
Personnel services:					
Salaries and benefits	32,769	7,963	27,989	21,750	90,471
Operating expenses:					
Insurance	3,787	975	11,494	-	16,256
Contracted services	6,186	30,930	-	-	37,116
Professional fees	26,044	3,634	-	-	29,678
Meetings, seminars, and dues	8,013	3,066	-	431	11,510
Repairs and maintenance	902	1,825	2,374	48,787	53,888
Printing, postage, and publications	1,313	-	-	-	1,313
Transportation, meals, and lodging	-	-	-	3,917	3,917
Utilities and telephone	5,480	3,629	347	18,481	27,937
Total operating expenses	51,725	44,059	14,215	71,616	181,615
Supplies	2,908	44	1,728	661	5,341
Other expenses	-	-	1,579	-	1,579
Capital outlay	37,110	289	13,632	1,749	52,780
Total expenditures	124,512	52,355	59,143	95,776	331,786
Revenues over (under) expenditures before transfers	50,595	(52,355)	(59,140)	51,558	(9,342)
OTHER FINANCING SOURCES					
Transfers out	(14,900)	-	-	-	(14,900)
EXCESS (DEFICIENCY) OF REVENUES OVER EXPENDITURES	$ 35,695	$ (52,355)	$ (59,140)	$ 51,558	$ (24,242)

VILLAGE OF HOMER, NEBRASKA

COMBINING STATEMENT OF REVENUES AND EXPENSES - MODIFIED CASH BASIS - PROPRIETARY FUND DEPARTMENTS

For the year ended September 30, 2022

	Enterprise Fund			
	Water	Sewer	Trash	Total
Operating revenues:				
Sales	$ 97,033	$ 50,055	$ 54,114	$ 201,202
Operating expenses:				
Personnel and benefits	18,753	14,500	-	33,253
Contractual services	635	135	-	770
Dues and fees	2,332	671	671	3,674
Professional fees	-	-	327	327
Repairs and maintenance	23,270	2,190	-	25,460
Supplies	14,323	41,174	40,279	95,776
Utilities	8,281	628	33	8,942
Total operating expenses	67,594	59,298	41,310	168,202
Operating income (loss)	29,439	(9,243)	12,804	33,000
Nonoperating revenues (expenses):				
Interest income	-	595	-	595
Principal on debt service	(15,263)	-	-	(15,263)
Interest on debt service	(14,904)	-	-	(14,904)
Total nonoperating revenues (expenses)	(30,167)	595	-	(29,572)
Revenues over (under) expenditures	$ (728)	$ (8,648)	$ 12,804	3,428
Other financing sources:				
Transfers in				14,900
Excess of revenues over expenditures				$ 18,328

See notes to financial statements.